

**Template for a Federal Supply Schedule (FSS)
Limited-Sources Justification**

Completion Instructions: HHS has established a standard template for the preparation of a Limited-Sources Justification (LSJ) pursuant to FAR Subpart 8.4. This template is for use with orders issued under the Federal Supply Schedule (FSS) program where the value exceeds simplified acquisition threshold and competition is restricted: (1) to fewer schedule contractors than required in FAR 8.405-1 or 8.405-2, or (2) to an item peculiar to one manufacturer. See FAR Subpart 8.4 for additional guidance. This template is not for use with acquisitions other than those under FAR Subpart 8.4.

Tailor all aspects of this template to the individual acquisition. Consult FAR 8.405-6 for guidance.

Delete the highlighted portions of this document prior to signature. Do not include these instructions in the final document or contract file.

**FEDERAL SUPPLY SCHEDULE
LIMITED-SOURCES JUSTIFICATION**

Acquisition Title:	POINT OF SALE (POS) SWITCH SERVICES-CHANGE HEALTHCARE
Agency:	IHS
Acquisition Year:	2026
Author:	SHANI SHRIVER, Director of Pharmacy

2. Description of Action:

Nature:	☒ New Requirement	☐ Follow-on Requirement	
	☐ Modification to Existing Purchase Order/Contract Number:		
Pricing:	☒ Firm-Fixed Price	☐ Time & Materials	☐ Cost
	☐ Other:		
Funds:	☐ OMA	☐ Other Funds:	

<For each proposed contractor if more than one (e.g., brand name):>

Name of Proposed Contractor(s):	CHANGE HEALTHCARE
Street Address:	424 CHURCH STREET SUITE 1400
City, State, Zip:	NASHVILLE, TN 37219

Add Contractor

Remove Contractor

3. Description of Supplies or Services:

The Government requires electronic pharmacy Point of Sale (POS) switching services to support real-time pharmacy claims adjudication and eligibility verification for third-party billing. These services enable secure transmission of pharmacy claims from the Indian Health Service Resource and Patient Management System (RPMS) to third-party drug plans. The services are peculiar to a single provider due to a proprietary, nationally standardized RPMS interface that is approved and managed by the IHS Office of Information Technology (OIT). The period of performance consists of a base period with option years for continued service. No other vendor is capable of providing these services without national-level redevelopment and approval.

The estimated value of the proposed action, including all options, is \$ 24720.00

Briefly describe the supplies or services to be provided, including make & model number where appropriate. Indicate whether the item to be procured is peculiar to one manufacturer (e.g., a particular brand name, product, or a feature of a product, peculiar to one manufacturer). If applicable, include quantities of supplies or period of performance for services. Provide information for any options included in the order. If the action is a modification to an existing order, distinguish clearly between the work covered by the basic order and the work to be obtained by the proposed modification.

Approval of a limited source award under the GSA Federal Supply Schedule to Change Healthcare, LLC for pharmacy Point of Sale (POS) switching services to support real-time claims adjudication, eligibility verification, and third-party pharmacy billing.

4. Authority:

☐ **ORDER AGAINST FSS:** Authority of the Multiple Award Schedule Program, Title III of the Federal Property and Administrative Services Act of 1949 (41 U.S.C. 251, *et seq.*); Title 40 U.S.C. 501, Services for Executive Agencies; and Section 803 of the National Defense Authorization Act of 2002 (PL 107-107) and implemented by [FAR 8.405-6](#). Mark the applicable exception and for each discuss how the cited authority applies in accordance with FAR 8.405-6(c)(2)(iv).

☐ An urgent and compelling need exists, and following the procedures would result in unacceptable delays ([FAR 8.405-6\(a\)\(1\)\(i\)\(A\)](#));

☒ Only one source is capable of providing the supplies or services required at the level or quality required because the supplies or services are unique or highly specialized ([FAR 8.405-6\(a\)\(1\)\(i\)\(B\)](#)); or

Change Healthcare, LLC is the only source capable of providing pharmacy POS switching services compatible with RPMS, as it is the sole vendor approved by IHS OIT for this function. The RPMS pharmacy POS interface is proprietary, centrally managed, and nationally standardized. Local IHS facilities do not have the authority or capability to integrate alternative vendor solutions. While other vendors offer pharmacy POS switching services, none are approved or capable of supporting RPMS without extensive national-level system redevelopment, testing, certification, and approval by IHS OIT. Transitioning to another vendor would introduce unacceptable risk of service disruption, delayed reimbursement, and impact to pharmacy operations. Therefore, only one source can meet the Government's requirements.

☐ In the interest of economy and efficiency, the new work is a logical follow-on to an original Federal Supply Schedule order provided that the original order was placed in accordance with the applicable Federal Supply Schedule ordering procedures. The original order or BPA must not have been previously issued under sole-source or limited sources procedures ([FAR 8.405-6\(a\)\(1\)\(i\)\(C\)](#)); or

☐ An item peculiar to one manufacturer can be a particular brand name, product, or a feature of a product, peculiar to one manufacturer). A brand name item, whether available on one or more schedule contracts, is an item peculiar to one manufacturer. ([FAR 8.405-6\(b\)](#));

Describe in detail why a particular brand name, product, or a feature of a product, peculiar to one manufacturer must be used. Also, describe in detail the existence of other than the "Name Brand" product and discuss why they cannot be used.

5. Market Research:

Describe the extent of the market research conducted among the schedule holders and the results, or a statement of the reason that market research was not conducted. Brand name specifications shall not be used unless the particular brand name, product, or feature is essential to the Government's requirements, and market research indicates other companies' similar products, or products lacking the particular feature, do not meet, or cannot be modified to meet, the agency's need.

Market research was conducted in accordance with FAR Part 10 and FAR 8.405-6 and included review of prior market research, consultation with knowledgeable Government personnel, and review of GSA Schedule vendors offering similar services. Market research confirmed that although multiple vendors provide pharmacy POS switching services, only Change Healthcare is capable of supporting the RPMS interface as approved by IHS OIT. No other schedule holder can meet the Government's requirements.

6. Actions to Increase Competition:

Describe the actions, if any, the agency may take to remove or overcome any barriers that led to the restricted consideration prior to any subsequent acquisition for the supplies or services is made. If no such actions have been taken, explain why.

The Government will continue to monitor industry capabilities and IHS OIT guidance. Competition may be reconsidered if RPMS interfaces are modernized or if additional vendors become IHS OIT-approved to provide pharmacy POS switching services. At this time, no actions can be taken to remove the existing technical and system barriers.

7. Any other facts supporting the justification:

Pharmacy POS switching services are mission-critical to daily pharmacy operations and third-party revenue collection. Any interruption in service would immediately affect claims processing, reimbursement, and pharmacy workflow. Continued use of the approved provider is necessary to ensure uninterrupted operations and compliance with IHS OIT requirements.

8. Technical / Requirements Certification: By my signature below, I certify that the supporting data under my review which is included in this Limited-Sources Justification is accurate and complete.

Program Manager

Name:	SHANI SHRIVER
Position Title:	PHARMACY DIRECTOR
Email address:	Shani.Shriver@ihs.gov
Phone:	218-679-0401

Program Manager Supervisor (or one level above Program Manager)

Name:	Mary Cook
Position Title:	Chief Executive Officer
Email address:	Mary.Cook@ihs.gov
Signature	Mary A. Cook -S  Digitally signed by Mary A. Cook -S Date: 2026.01.28 10:02:32 -06'00'
Date:	

9. Best Value Determination. By my signature below, after review of the relevant documents, I have determined that the order subject to this Limited-Sources Justification represents the best value for the Government as set forth in FAR 8.404(d), and constitutes a **fair and reasonable price**. The basis for my determination is as follows:

Describe in detail the basis for the determination that this order provides the best value, and that the price is fair and reasonable. Attach and/or summarize applicable market research, commercial prices lists, comparable GSA schedule pricing or other markers that were used in this determination.

The proposed order represents the best value to the Government in accordance with FAR 8.404(d). Pricing is determined to be fair and reasonable based on established GSA Schedule pricing, historical pricing paid for identical services, and transaction-based unit pricing tied to actual usage. The use of the sole IHS OIT-approved provider minimizes operational risk and ensures continuity of service at a reasonable cost.

10. Contracting Officer's Approval (Required for proposed contract not to exceed \$700,000 (value calculated including all options)): I hereby certify that this justification is accurate and complete to the best of my knowledge. I approve this sole source justification subject to availability of funds, and provided that the services and supplies herein described have otherwise been authorized for acquisition.

Name:	JENNIFER RICHARDSON	Phone:	
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Signature:	Jennifer L. Richardson -S	 Digitally signed by Jennifer L. Richardson -S Date: 2026.02.27 10:22:31 -06'00'	Date:	
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11. Legal Review:

All J&As equal to or greater than \$68 million must have a legal review from the General Law Division of the Office of the General Counsel prior to sending it to the Department.

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12. OPDIV Competition Advocate Approval (Required for proposed contract over \$700,000 but not exceeding \$13.5 million value calculated including all options):

I have reviewed this justification and find that it adequately supports other than full and open competition.

Name:		Phone:	
Signature:		Date:	

13. Office of Small and Disadvantaged Business Utilization

I have reviewed this justification and find that it adequately supports other than full and open competition.

Name:		Phone:	
Signature:		Date:	

14. OPDIV HCA Approval (Required for proposed contract over \$13.5 million but not exceeding \$68 million value calculated including all options):

Name:		Phone:	
Signature:		Date:	

(The below approval paragraph is required if the cumulative contract value, including all options, equals or exceeds \$68 million.)

HHS Senior Procurement Executive (SPE) Approval

Based on the foregoing justification, I hereby approve the procurement of (state supplies/services being procured) on an other than full and open competition basis pursuant to the authority of (state the full statutory authority and FAR cite and title, consistent with paragraph 4, e.g. 41 U.S.C. 251), as implemented by [FAR 8.405-6](#)), subject to the availability of funds, and provided that the services herein described have otherwise been authorized for acquisition.

Name:		Phone:	
Signature:		Date:	